

India Autos

India Autos: Beyond E20 - What ethanol can and cannot deliver



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India crossed the 20 percent ethanol blending milestone in late 2025, making E20 its standard petrol grade about five years ahead of plan. The obvious next question is how much further this programme can go. Can it move to E25 or E27, and then beyond to flex-fuel vehicles and E85? More importantly, is the incremental reduction in crude imports worth the cost and complexity of building an entirely new fuel value chain?

We separate our arguments into two halves. First half - stretching the blend from E20 toward E25 or E27 by 2030 is directionally sensible but hard. Over 80% of vehicles on Indian roads are built for E10. Current E20 is already triggering mileage losses and fuel-system complaints in legacy vehicles, and Govt. has only just assigned ARAI to study E25's impact on existing fleet. The stretch is achievable for new vehicles, but for legacy fleet it is conditional on retrofit kits scaling or legacy fleet turning over faster vs current scrap rates.

The second half - going beyond the blend wall (E25 / E30) by building a national flex-fuel and E85 supply chain is a long industrial project whose payoff, when you model it, is small, increasingly duplicated by technologies arriving anyway, and justified mainly by a hedging logic that no longer fits India's moment. Battery costs are falling every year, EV TCO is converging on petrol, and charging infrastructure build out + range improvement are genuine advancements - the very alternatives that hedge oil dependence.

Feedstock is also a risk. India's ethanol comes primarily from sugarcane, molasses and maize - all hostage to water availability and hence monsoons. When a poor 2023 harvest forced distilleries to switch from sugar to grain, India briefly became a net maize importer paying foreign exchange for grain to make a fuel meant to save foreign exchange.

Having increased adoption of Flex fuel vehicles and E85 supply chain is attractive in theory - if crude prices spike, a country with flex-fuel cars can switch to cheaper ethanol and blunt the shock. But during normalcy, ethanol procurement costs for OMCs (INR 60-62/litre in a good monsoon) exceed the petrol it replaces (INR 55-58/litre at \$75/bbl crude). We modelled what a full flex-fuel push would deliver: even with aggressive adoption (new petrol PVs sales phased out by end of this decade, replaced by FFVs), stock petrol PVs would still make up 45-50% of the fleet by end-2030 (vs 65-70% today). The net crude-import saving from flex-fuel cars is around 1-2% of India's oil imports; overall savings reach ~4-5%, driven overwhelmingly by blending to E25-E27 and the rise of EVs, hybrids and CNG.

The global track record reinforces our scepticism. US built E85 infra and saw it languish at <2% of stations; China scrapped its ethanol mandate the moment grain turned scarce; Thailand's E85 demand collapsed when subsidies were cut in early 2026, with EVs stepping in. Only Brazil sustains high blends - but Brazil started in the 1970s long before EVs existed and has far more suitable conditions vs India.

Our verdict: India can stretch to E25-E27 by 2030. Going beyond would require FFVs and E85 value chain. We only see a ~5% crude imports savings by 2030 with both, > 2/3rd of it from blending + EV, Hybrid, CNG adoption, < 1/3rd from FFVs. Savings jump to 7-8% by 2035, and 10% by 2040. But with EVs, Hybrids, CNG taking off, a parallel supply chain is an expensive hedge whose moment has passed.

BERNSTEIN TICKER TABLE

Ticker	Rating	22 Jun 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2026A	2027E	2028E	2026A	2027E	2028E
MSIL.IN (Maruti Suzuki)	O	INR	13,421	18,200	(43.7)%	INR	459.46	468.95	531.43	29.2	28.6	25.3
MM.IN (Mahindra & Mahindra)	O	INR	3,063.40	4,200.00	(51.7)%	INR	126.00	148.62	168.58	24.3	20.6	18.2
HMCL.IN (Hero MotoCorp)	M	INR	4,983.70	5,010.00	(32.2)%	INR	269.77	273.44	313.43	18.5	18.2	15.9
EIM.IN (Eicher Motors)	M	INR	7,639.50	7,000.00	(11.8)%	INR	203.46	227.92	266.94	37.5	33.5	28.6
BJAUT.IN (Bajaj Auto)	O	INR	10,191	11,500	(26.4)%	INR	386.25	409.45	471.05	26.4	24.9	21.6
TVSL.IN (TVS Motor)	M	INR	3,488.70	3,460.00	(23.8)%	INR	76.97	100.78	118.73	45.3	34.6	29.4
ASIAX			2,072.31									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Our assessment of the ethanol blending programme points to meaningful execution challenges on two fronts. First, scaling the ability of passenger vehicles to handle higher blends, particularly within the existing fleet, remains uncertain. Second, sustaining higher blend levels on the feedstock side is constrained by structural dependence on monsoon-driven agricultural output.

We believe the impact on reducing fuel imports is likely to be limited over this decade. At the same time, there is a risk that policy and capital allocation shift toward extending legacy fuel technologies that may become less relevant over time, given the parallel evolution of electrification, hybrids and alternative fuels.

From a stock market perspective, the direct implications for the OEM supply chain appear modest. However, there could be indirect benefits for select players such as Maruti (rated Outperform), which remains relatively underpenetrated in electric vehicles. A stronger ethanol pathway may help bridge this gap by supporting its positioning in internal combustion and hybrid segments.

DETAILS

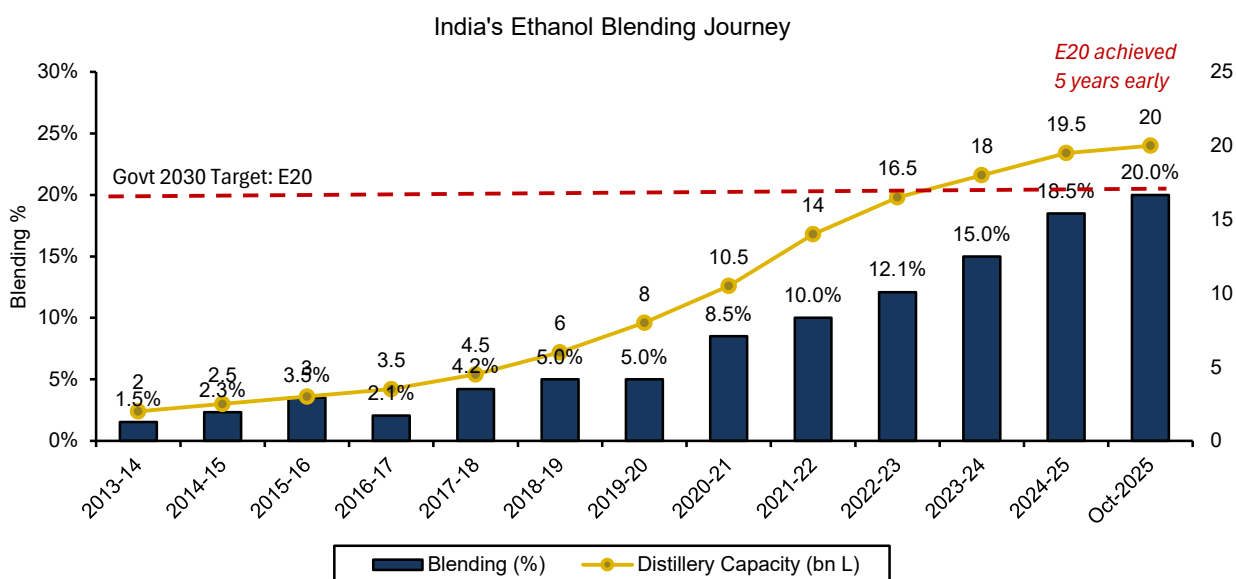
INDIA HAS FINISHED THE EASY PART - BLENDING TILL E20

The first thing to understand about India's ethanol programme is why it succeeded so fast because the reasons are precisely why the next leg is hard. Blending rose from under 2% a decade ago to 20% in 2025 ([Exhibit 1](#)), ahead of every official timeline, on three favourable conditions: the blend went into engines India already owned, the feedstock came from crops India already grew, and the consumer was asked for nothing. A programme that asks nothing of anyone scales easily.

It was not entirely costless. The government puts the mileage loss at E20 at 1–6%, but a meaningful share of owners of pre-2023 vehicles report closer to 10%, alongside complaints of corrosion and fuel-system wear. The political signal is real - and every step up the blend ladder sharpens exactly these complaints.

But the issue starts even before the blend wall. More than 80% of petrol vehicles currently on Indian roads were manufactured before April 2023 and are only E10-compliant; E20 alone is already triggering rubber seal degradation, fuel pump complaints and mileage losses of 6–10% in legacy vehicles - issues that sharpen materially with every percentage point higher.

EXHIBIT 1: India's current capacity far exceeds the demand for ethanol (20bn litres of capacity vs ~11 bn litres of consumption)



MoPNG, Bernstein analysis and estimates

ETHANOL STOPS NEAR E25/E27 AND THAT IS THE CEILING

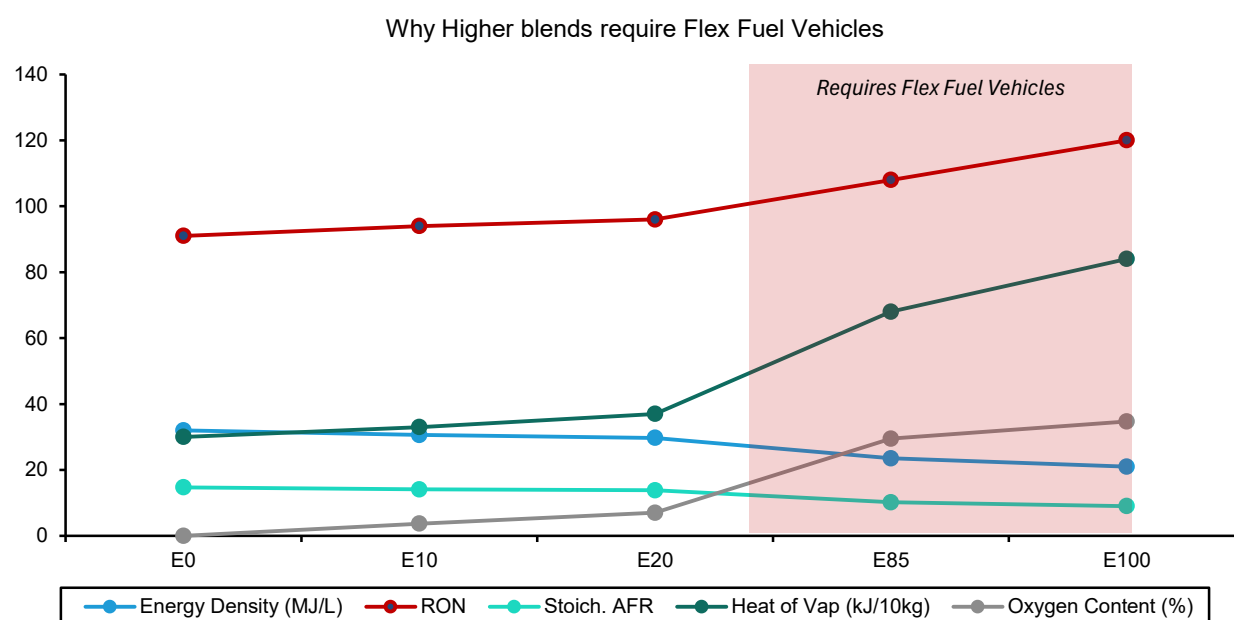
There is a physical ceiling to how much ethanol a conventional petrol engine can accommodate, and it is not a question of policy ambition. Ethanol contains roughly 65 to 67 percent of petrol's energy by volume, is hygroscopic, and can be corrosive to materials that petrol typically does not affect. At low blend levels, these properties have limited impact. As the blend rises, however, the effects become progressively more significant. Both global experience and India's own engineering standards converge on a threshold of around 20 percent for the existing vehicle base. This is the blend wall, and it is defined by underlying physical and chemical constraints rather than regulatory choice.

India does, however, have some room beyond this level. From April 2025 onward, all new vehicles are required to be equipped with E20-tuned engines. These engines are designed to take advantage of ethanol's higher octane rating through higher compression ratios, partially offsetting the energy penalty. As the fleet gradually transitions, the tolerable blend level can edge higher, which forms the basis for a measured progression toward E25, and potentially E27, by 2030.

The regulatory framework to support this transition is already taking shape. Fuel specifications up to E30 have been notified, and excise duties have been adjusted to support higher blends. However, this framework remains largely regulatory rather than mechanical. The underlying question is one of fleet readiness. The government's recent decision to task ARAI with a 60,000 to 70,000 kilometre durability study on the impact of E25 on existing E10 and E20 vehicles reflects a clear recognition that moving from E20 to E25 is a meaningful technical step, not a routine extension.

Until these results are available, and until either retrofit solutions scale efficiently or original equipment manufacturers upgrade a much larger share of the vehicle base, the transition remains uneven. More than 80 percent of the current fleet is still not fully E20-optimised. In this context, E25 appears achievable for new vehicle sales, but considerably more challenging across the existing stock. We therefore view E25 as a credible base case for new additions to the fleet, but only a conditional outcome for the broader parc. That outcome depends on either the rapid scaling of retrofit ecosystems or a faster-than-expected turnover of legacy vehicles, which current scrappage trends do not yet support.

EXHIBIT 2: Fuel Properties E0 to E100: The physics are clear - energy density drops from 32 MJ/L at E0 to 21 MJ/L at E100, while the RON rises from 91 to 120. The jump from E20 to E85 is not incremental; it requires entirely new engine hardware, cold-start systems, and ECU calibration.



Source: ARAI, News Articles, Bernstein analysis and estimates

ETHANOL BLENDING REQUIRES WATER AND HENCE, IT IS ALSO INFLUENCED BY MONSOONS

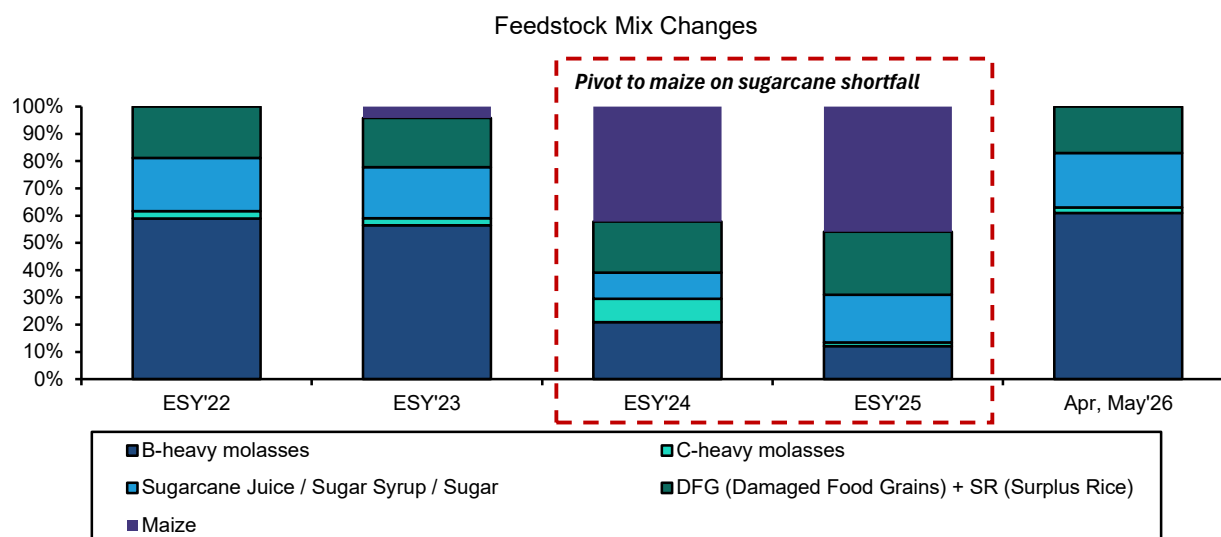
India does not face a shortage of distillation capacity. Installed capacity stands at roughly 18 to 20 billion litres, well above the approximately 11 billion litres required for E20. Capacity is not the constraint. If anything, the system is operating with surplus capacity. The real limitation lies in sustainable feedstock. Independent estimates place this at around 6 to 10 billion litres, while the government's more optimistic assessment is about 13.5 billion. This gap is critical. It is the difference between a view where E20 already represents the practical ceiling and one where E25 still offers headroom. The answer is not fixed. It shifts each year with rainfall patterns and water availability.

The events of 2023 illustrate this dynamic clearly. A weak monsoon and drought-like conditions hit the key cane-producing states, with Maharashtra and Karnataka seeing yields fall sharply from 120 to 130 tonnes per hectare to closer to 80. As sugar availability tightened, the government restricted the diversion of sugarcane juice toward ethanol. Distilleries pivoted toward maize, but the outcome ran counter to the programme's intent. India, historically a maize exporter of 2 to 4 million tonnes annually, turned into a net importer for the first time in many years. By 2024, it was importing close to a million tonnes from countries such as Myanmar and Ukraine, even as maize-based ethanol became the most expensive option at roughly INR72 per litre. In effect, a programme designed to reduce oil imports ended up relying on imported grain.

The subsequent reversal in September 2025 reinforces the same point. With a recovery in the monsoon, two consecutive good rainfall years replenished reservoirs and revitalized cane output. Sugar moved back into surplus, and cane juice and molasses returned to the ethanol stream in large volumes. The key takeaway is not about whether the system is cane-led or grain-led. It is neither in a structural sense. It is fundamentally driven by water availability. As blending targets rise, the system becomes increasingly exposed to a single weak monsoon year.

This vulnerability is amplified by India's underlying water constraints. The higher the blending ambition, the more sensitive the programme becomes to rainfall variability. At elevated blend levels, even one year of poor rainfall can disrupt the balance, forcing a shift toward imports and undermining the programme's core objective.

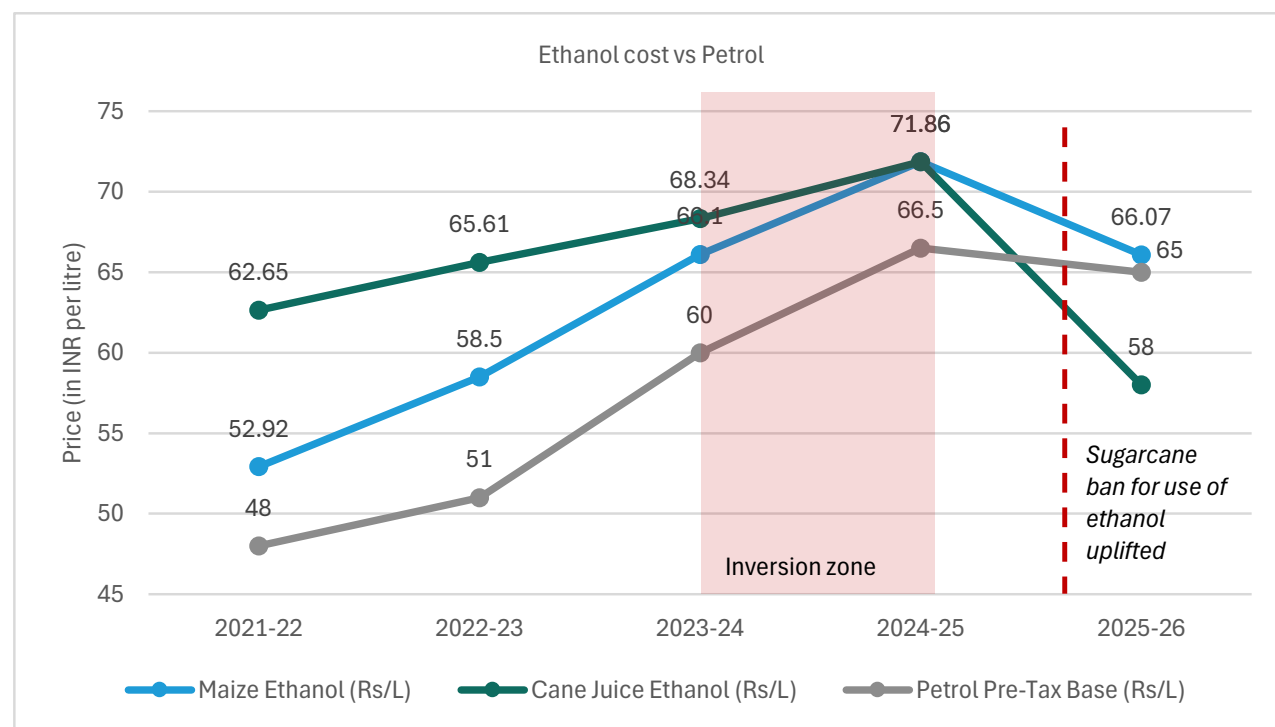
EXHIBIT 3: Shift in ethanol feedstock mix showing a temporary pivot toward maize during ESY'24–ESY'25 amid sugarcane shortages, with a rebalancing back to cane-based sources following improved availability and policy easing



ESY refers to Ethanol Supply Year (Oct-Nov)

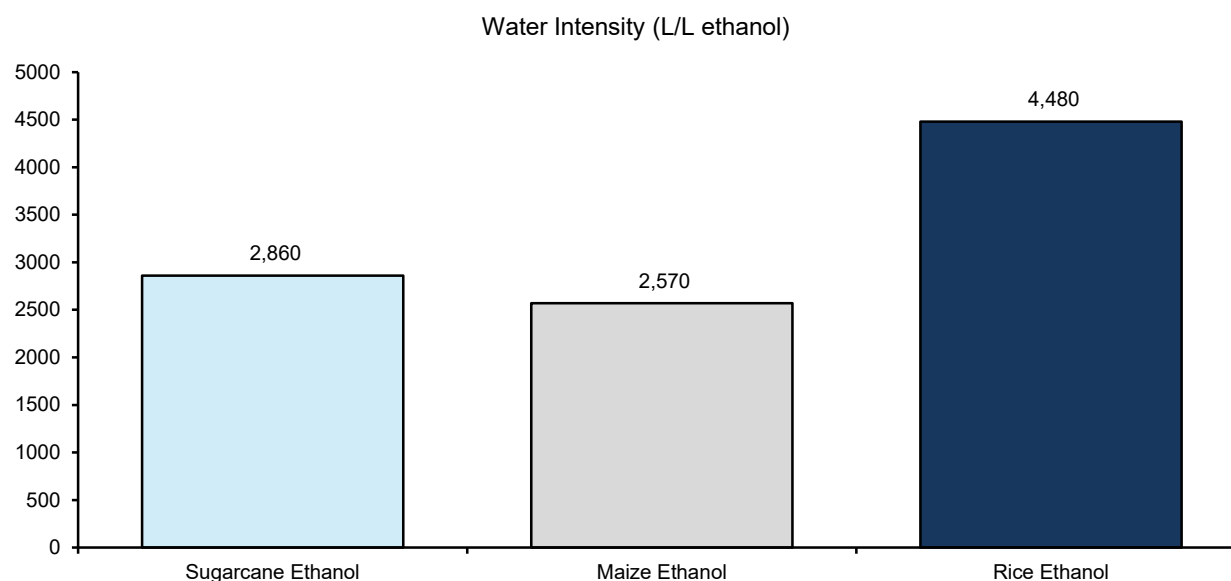
Source: MoPNG, SIAM, News Articles, Bernstein analysis

EXHIBIT 4: Ethanol cost trends across feedstocks, highlighting a temporary surge in maize-based ethanol prices during the inversion phase- driven by drought-led sugarcane shortages in Maharashtra and Karnataka

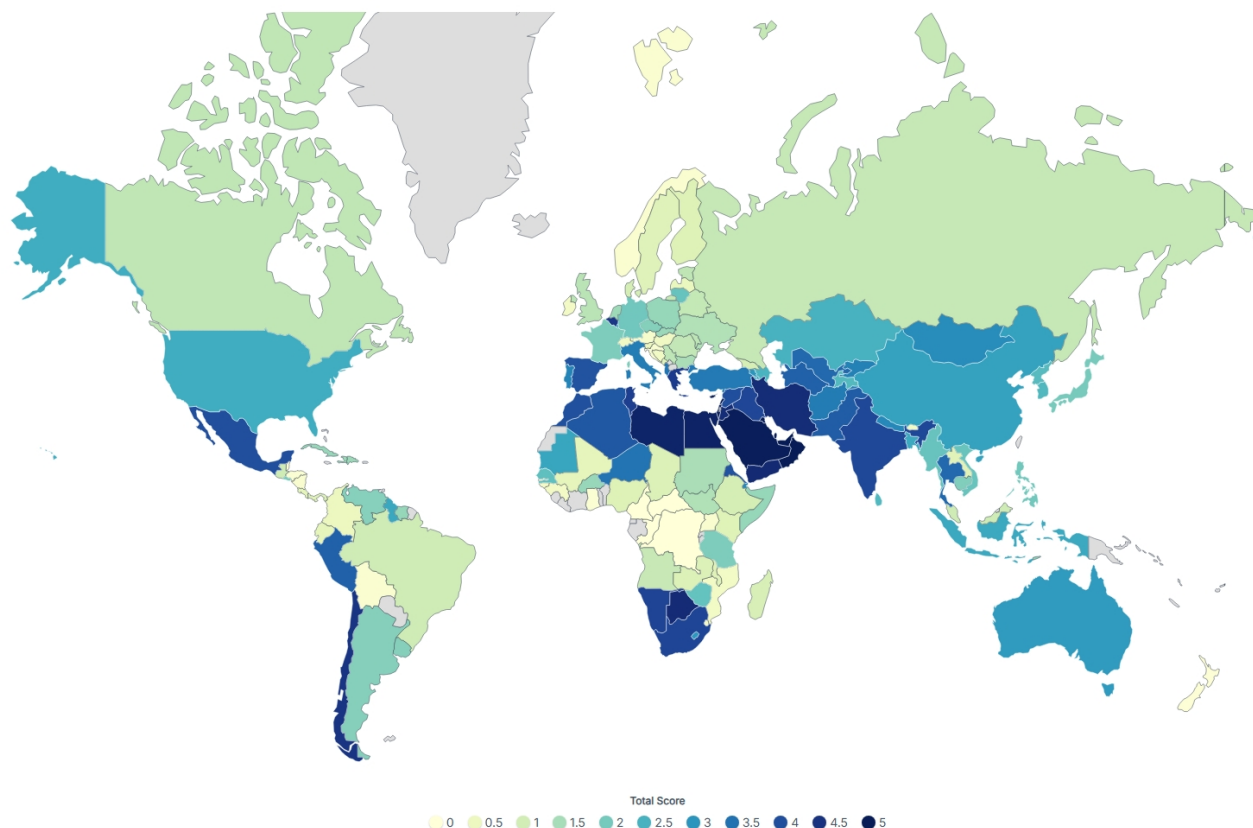


Source: MoPNG, SIAM, Bernstein analysis

EXHIBIT 5: Water requirement is extremely high across ethanol feedstocks highlighting a key sustainability concern.



Source: Niti Aayog 2021, News Articles, Bernstein analysis

EXHIBIT 6: India has a 4.11 water stress score on a scale of 1 (low stress) to 5 (extremely high stress) vs Brazil's 1.04

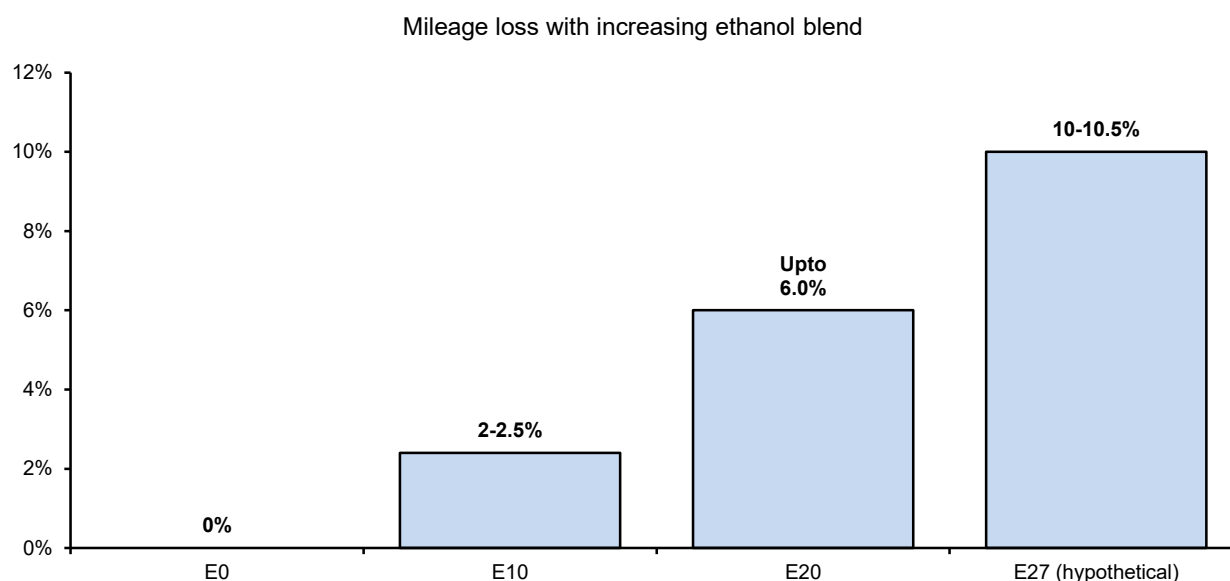
Source: World population review 2023, Bernstein analysis

ETHANOL IS NOT CHEAPER THAN PETROL - SO THE CASE FOR GOING FURTHER RESTS ON ONE IDEA: A HEDGE

Confront the fact that quietly undermines the economic premise. At ~\$75 a barrel, a litre of crude costs India about INR 45, and a litre of petrol costs around INR55–58 to make before tax. A litre of ethanol is procured at about INR60–62 today on the cane-led mix, and rose above INR71 during the grain pivot. On every comparison that matters, ethanol costs as much as or more than the petrol it displaces, before a rupee of tax - set aside the more volume requirements due to mileage loss.

Strip away the rhetoric and one serious answer remains for why to push further at all: a hedge. Brazil's genius is to let the anhydrous blend float and to put flex-fuel in 90% of its cars, so drivers switch to ethanol en masse when crude spikes and petrol turns dear, then switch back when crude falls. When the Strait of Hormuz crisis drove crude above \$100 in May and June 2026, a country with Brazil's fleet could have leaned on ethanol precisely when oil turned expensive. We take this argument seriously - it is the strongest case for a flex-fuel future. But the question the rest of this report asks is not whether the hedge has value, but whether it is worth what India would have to spend to build it.

EXHIBIT 7: Mileage loss due to increasing ethanol blend % as per govt studies; however consumers seem to report more mileage loss than the below estimates



Source: ARAI, Niti Aayog, Bernstein analysis and estimates

THE HEDGE PAYS ONLY IN A SPIKE - AND BRAZIL BUILT IT OVER FIFTY YEARS, BEFORE ELECTRIC CARS EXISTED

Grant the hedge its due, then weigh it honestly. The first cut: the hedge pays only in a crude spike. Because ethanol is not cheaper than petrol at ordinary crude prices, the flex driver switches to ethanol only when oil climbs high enough that petrol's making-cost finally exceeds ethanol's. That is a real but occasional event - tail-risk insurance, not an everyday saving. For most of any given decade, with crude in the \$60–80 range, an Indian flex fleet would run mostly on petrol, exactly as Brazil's does in cheap-oil years. You would have built an entire parallel fuel system to capture a benefit that materialises in the minority of years when oil spikes.

The second cut is about timing. Brazil began building this hedge in 1975 with Proálcool (short for *Programa Nacional do Álcool* - National Alcohol Program), at a moment when there was no alternative to oil for a car - no EVs, no lithium-ion cost curve, no charging networks. If you wanted to insure a transport system against oil, home-grown ethanol was the only instrument available. The hedge made sense because it was the only hedge on offer.

That is no longer true, and it is the heart of our scepticism. India in 2026 has alternatives Brazil in 1975 could not imagine. Battery costs are falling year on year; strong hybrids cut petrol consumption 30-40% with no new fuel and no new infrastructure; CNG penetration is rising across the fleet. Each of these reduces oil dependence - the very thing the ethanol hedge is for and several decarbonise more durably as the grid greens. The opportunity cost of a single-purpose E85 supply chain is everything that same capital could do to accelerate these alternatives.

WE MODELLED IT: EVEN PHASING OUT EVERY PETROL CAR BY 2030 BARELY IMPACTS CRUDE IMPORTS

This is the calculation that should anchor the investment decision. We built a stock-and-flow model of India's vehicle parc. Its conclusion is hard to escape: vehicle stock turns over slowly, so even violent action on new-vehicle sales changes the fleet only gradually by the end of this decade.

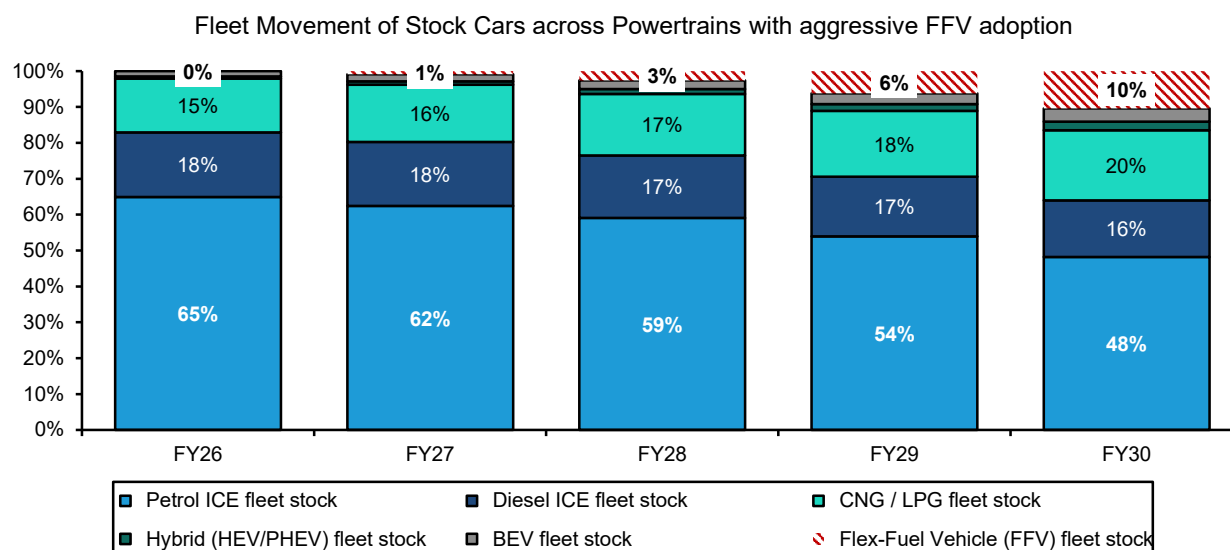
Take the most aggressive scenario we can responsibly model: every petrol car phased out of showrooms from next year, replaced only by flex-fuel cars. Because the cars already on the road keep running for ~15 years, the petrol share of the car parc still stands at 45-50% at end-2030, down only from today's 66-70%, while flex-fuel vehicles rise from zero to just 10-12%.

Attach an aggressive blend assumption - the petrol blend pushed to E27 by 2030 across both cars and 2Ws - and the total reduction in India's crude-import bill by the end of 2030 is about 4.5-5%. Decompose it, and 2/3rd of it - about 3.5-4 p.p. -

comes from the blend rising toward E27 across the existing fleet, rise of EVs + Hybrids + CNG. Only about 1-1.5 percentage points are attributable to flex-fuel passenger vehicles. The flex-fuel and E85 value chain is the expensive half of the program; the blend increase is the cheap half; and the model says the expensive half buys the smaller share of the prize till 2030. If we extend our workings further till 2035 and 2040, the crude savings jump to 7.5% and 10% respectively (Breakup in [Exhibit 9](#)).

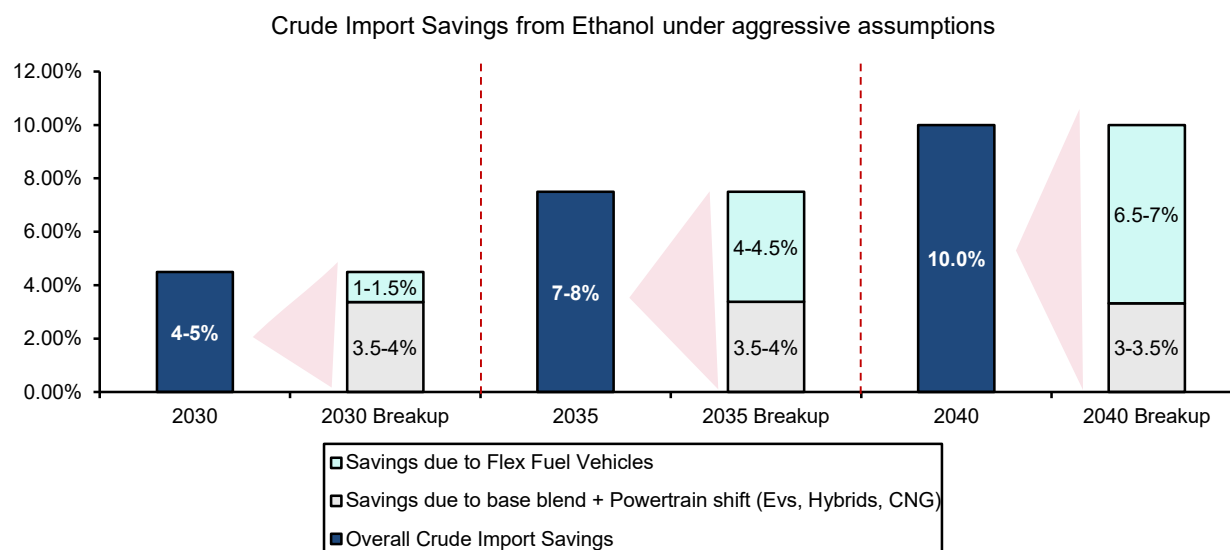
The 2030 picture improves only modestly if flex fuel reaches 2Ws, which are 61% of petrol demand. Extend flex penetration into 2Ws and our model adds ~2p.p., lifting the all-in 2030 saving to about 6-7% - broadly the same order of magnitude that EV and hybrid penetration in cars is on course to deliver anyway, without anyone building a second fuel system. Soften any assumption toward realism - a slower flex roll-out, a blend that stalls at E25, faster EV adoption - and the flex contribution shrinks further.

EXHIBIT 8: Even with aggressive Flex Fuel Vehicle adoption starting FY28, the petrol stock vehicle by the end of this decade will be significant



Source: SIAM, Company Data, Bernstein analysis and estimates

EXHIBIT 9: Crude savings from Increasing Blend Rate and Flex Fuel PV adoption will be low in the next 5 years even in the aggressive scenario (Flex fuel replace Petrol Vehicle sales) - Scenario Analysis for 2030/2035/2040



Source: Bernstein Proprietary Model, Bernstein analysis and estimates

THE WORLD HAS RUN THIS EXPERIMENT - AND THE SUPPLY CHAIN RARELY REPAID THE BUILD

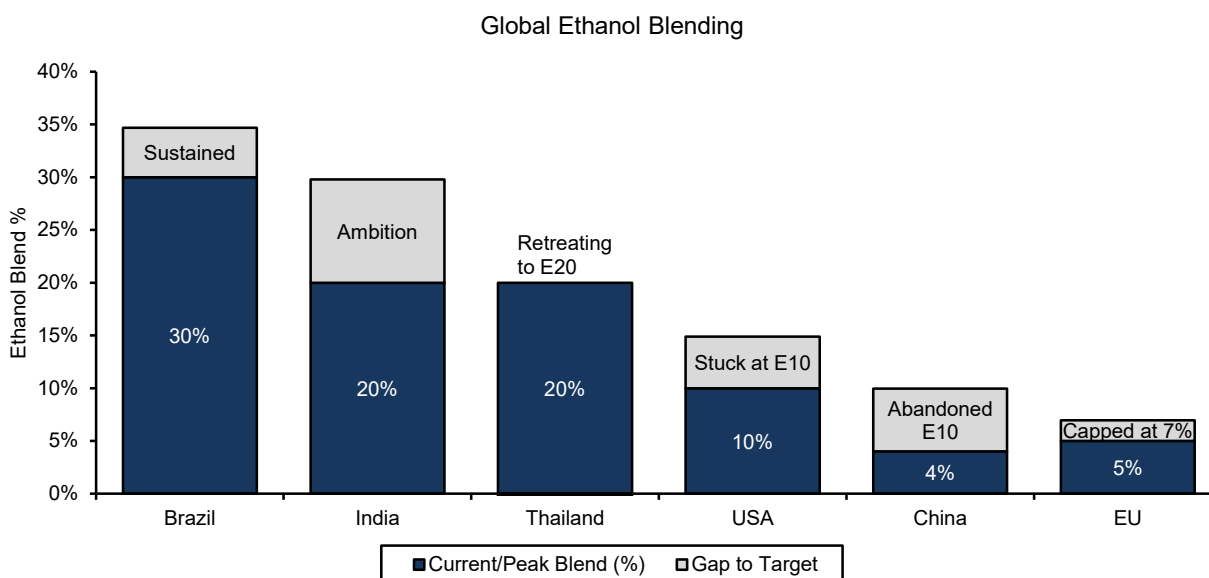
The most important evidence on whether to build a high-blend supply chain comes from the countries that already did. Three ran the experiment in earnest; each failed in a different and instructive way; and each failure maps onto a specific Indian vulnerability.

The United States had every advantage and still could not make the supply chain pay. E85 reached barely 2% of fueling stations - a chicken-and-egg trap in which retailers would not install pumps without flex drivers and drivers would not buy flex cars without pumps. A GM study found around 70% of flex-fuel owners did not know their car could run on E85, and fewer than 10% ever used it - the vehicles existed only to earn automakers fuel-economy compliance credits. And underneath it all sat the economics: E85's 20–30% range penalty meant that even priced below petrol per gallon, *it rarely beat petrol per mile*.

China is the cleanest parallel to India's feedstock vulnerability. In 2017 Beijing announced a nationwide E10 mandate by 2020, conceived to digest a vast state corn surplus. Within two years it was quietly abandoned - the surplus had vanished, drawn down by poor harvests and livestock demand - and the government concluded that any promotion of ethanol "must be based on the precondition that food security is guaranteed." The blend never exceeded about 2–4% against the 10% target. That is precisely the kind of wall India hit in December 2023, when a poor monsoon forced a choice between sugar on shelves and cane in fuel tanks - and chose sugar.

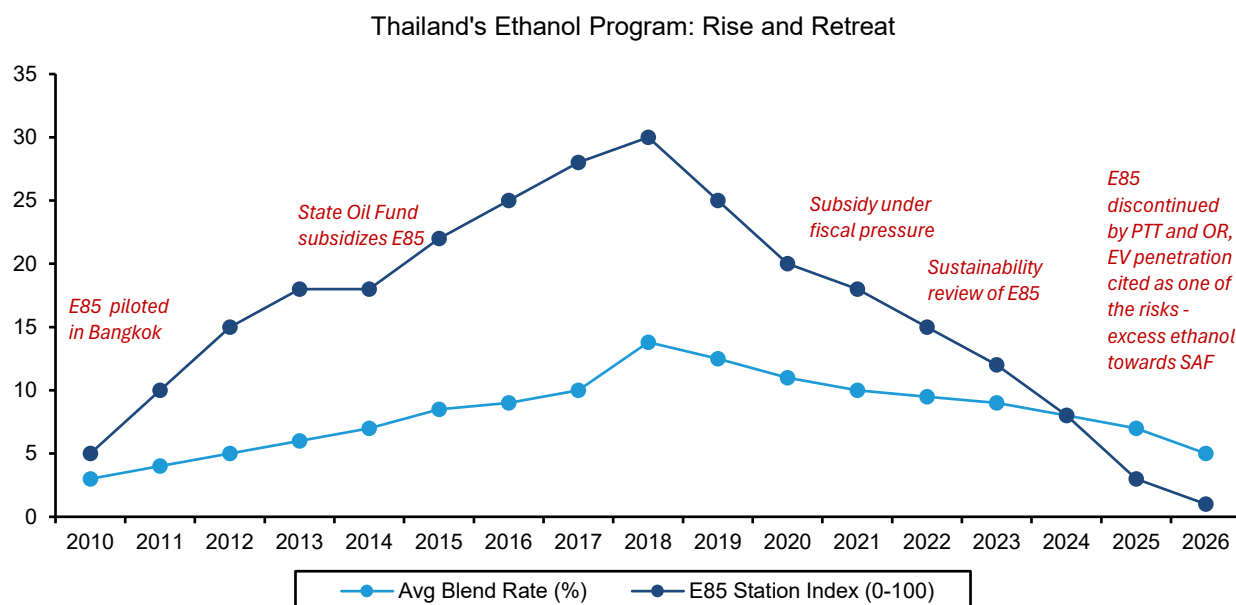
Thailand actually built E85 to commercial scale and then dismantled it. Generous subsidies stood up flex vehicles, E85 stations, and real consumer demand. When the subsidy was cut in late 2022, E85 consumption fell significantly ([Exhibit 11](#)). By February 2026 Thailand's dominant retailer stopped selling E85 altogether, with surplus ethanol redirected to sustainable aviation fuel. India's E85, priced below E20 only because tax is forgone on a fuel that costs more to make, is the same creature; and India, too, has EVs arriving to inherit the purpose.

EXHIBIT 10: Every market that attempted to go materially beyond E20 has stalled or retreated - the US at E10, China abandoning E10, Thailand dismantling E85. Only Brazil has broken through, and for structural reasons India cannot replicate.



Source: News Articles, Secondary Research, Bernstein analysis

EXHIBIT 11: Thailand's E85 failure is the most recent and directly relevant global precedent for India. It shows that subsidy-dependent high-blend ethanol is structurally unsustainable without Brazil-like conditions.

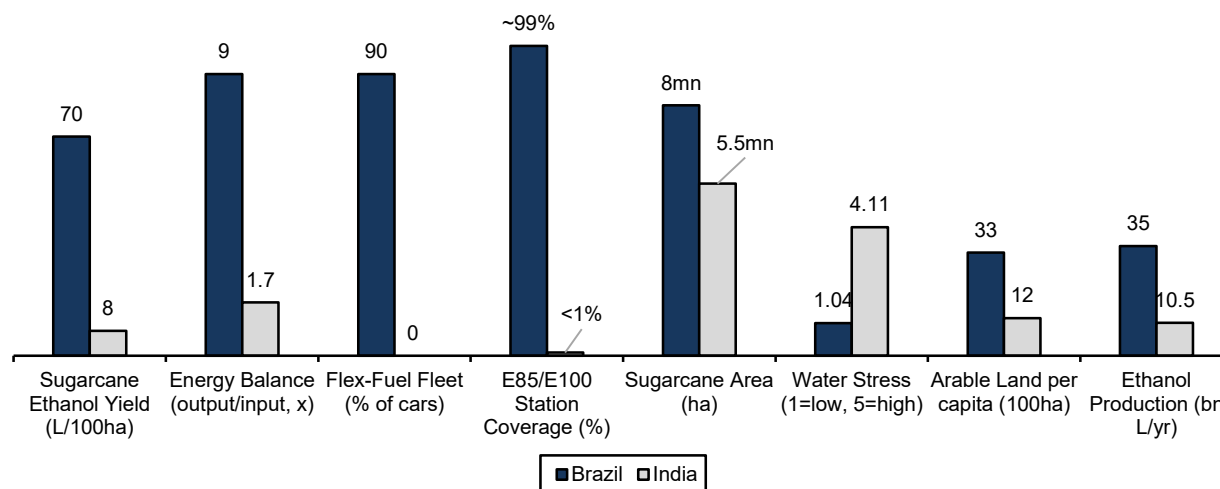


Source: PTT, OR, Company Data, News Articles, Bernstein analysis

Against these three stands **Brazil**, the exception that proves the rule - and even Brazil should temper rather than inflame the ambition. Brazil sustains high blends because it has what no one else has: sugarcane yields near 7,000 litres a hectare, an 8–10 times energy balance, abundant land and water, and a pricing market that lets ethanol float against gasoline. After fifty years and a 90% flex fleet, Brazil's effective average blend is about E30 - a destination India can approach by the cheaper road.

EXHIBIT 12: **India scores below Brazil on every metric suitable for ethanol production**

Brazil vs India: Why India cannot borrow Brazil's conclusion



Source: News Articles, Secondary Research, Bernstein analysis

OUR CONCLUSION: BANK THE TWENTY-FIVE, SKIP THE SECOND FUEL SYSTEM

India's ethanol programme has earned the credit it now receives. Reaching E20 across a vast and complex vehicle fleet, five years ahead of schedule and on a domestic feedstock base, is a meaningful achievement in both policy and execution. We begin from a position of respect for what has been accomplished, and then draw a clear distinction on what should come next.

Bank the blending stretch, but remain realistic.

E25, and potentially E27 by 2030, appears achievable for new vehicles entering the fleet from 2025 onward. However, the transition is more challenging for the large base of pre-2023 vehicles, which still accounts for over 80 percent of today's parc and was built for E10. The path forward here requires either a retrofit ecosystem that can scale rapidly at an affordable cost, or an acceptance that legacy vehicles may face measurable impacts on mileage and wear. The government's decision, as recently as May 2026, to assign ARAI the task of studying E25's impact on existing vehicles underscores that even regulators are not yet fully confident about the fleet's ability to absorb this shift.

This makes E25 a logical next step, but not a costless one. It leverages existing engines and fuel systems, benefits integrated producers that can shift between cane and grain depending on monsoon patterns and water availability, and limits incremental burden on consumers relative to E20. The structural constraint, however, remains unchanged. Feedstock is rain-dependent, meaning that even at E25, water risk cannot be mitigated simply through capacity expansion.

Be deliberate before building beyond the blend wall.

Moving further would require constructing an entirely new national fuel system. Our analysis suggests that the incremental benefit from such a system is modest, contributing roughly 1 to 1.5 percentage points reduction in the crude bill from passenger vehicles by 2030, or up to 3 percentage points if extended to two-wheelers. This sits against a broader 6 to 7 percentage point reduction that blending and electrification are already positioned to deliver. The economic case therefore rests largely on a hedge that pays off primarily in periods of crude price spikes, reflecting a logic rooted in a time when alternatives to oil were limited. Today, electrification, hybrids and CNG have significantly altered that landscape. Flex-fuel infrastructure is not conceptually flawed, but for India, its moment may already have passed.

The monsoon remains the central risk.

India's ethanol strategy ultimately rests on an agricultural base that is tied to rainfall. At moderate levels of ambition, such as E20 or even E25, this foundation can be managed. Variability in output can be smoothed, as seen in 2023. However, as targets rise, so does the system's vulnerability to a weak monsoon. In such scenarios, the programme's foreign exchange benefits also erode if imports of feedstock become necessary. Brazil's strategy was built on abundant land and water, and at a time when fuel

alternatives were scarce. India would be pursuing a similar path under more constrained natural conditions and in a markedly different technological context.

A precise, not directional, posture is warranted.

The value in this decade lies in extending the blending range to E25 to E27, supporting feedstock-flexible producers, and strengthening the ecosystem around E20-compliant engines and strong hybrids. Flex-fuel remains an option worth preserving, but as a low-cost hedge rather than a large-scale build-out. This stance would change under three conditions: a sustained crude price above \$90 to \$100 per barrel, a genuine breakthrough in second-generation feedstock, or a clear slowdown in the cost and performance curve of electric vehicles. Absent these signals, the conclusion is straightforward. India has successfully reached E20, can reasonably advance to E25, and should weigh carefully before committing significant capital to a strategy whose strategic relevance has diminished over time.

SUMMARY

India's ethanol programme should, in our view, be assessed in two distinct parts.

The first is the move from E20 toward E25 to E27 by 2030. This could be achievable for new vehicles, but remains conditional for the broader fleet. Distillation capacity is already in place, the September 2025 reinstatement of cane has restored feedstock flexibility, the vehicle base is gradually shifting toward E20-tuned engines, and the regulatory framework, including E22 to E30 specifications and excise support, has already been established. The more difficult reality is that over 80 percent of vehicles currently on the road were originally built for E10. Even E20 is already associated with mileage and fuel-system concerns in parts of this legacy fleet, and the government has only recently tasked ARAI with studying the impact of E25 on existing vehicles. In that context, the stretch to E25 is credible for new sales, and only conditionally so for the existing stock, provided retrofit kits scale meaningfully or scrappage accelerates. We remain cautiously constructive on this part of the story. The key constraint is feedstock sustainability, which remains closely tied to monsoon outcomes and water availability.

The second is the push beyond the blend wall through flex-fuel vehicles and a national E85 to E100 supply chain. Here our caution increases as the numbers are examined more closely. Our stock-and-flow model of the vehicle parc suggests that fleet turnover is simply too slow for aggressive flow-side policy to materially change the picture by 2030. Even if every new petrol passenger vehicle were phased out from next year, petrol vehicles would still account for roughly 45 to 50 percent of the fleet by end-2030, compared with 65 to 70 percent today, while flex-fuel vehicles would make up only around 10 to 12 percent. The resulting crude import saving is approximately 5 percent, and more than two-thirds of that comes from higher blending and the growing contribution of EVs, hybrids and CNG. The flex-fuel passenger vehicle contribution on its own is only around 1 to 1.5 percentage points. Including flex-fuel two-wheelers lifts that contribution to roughly 3 percentage points, and the all-in saving to around 6 to 7 percent, which is broadly comparable to what rising EV and hybrid penetration in passenger vehicles could achieve anyway. On that basis, the marginal return from building an entirely parallel fuel system appears limited.

The strongest argument in favour of building such a system is the hedge it provides. A flex-fuel fleet allows consumers to switch toward ethanol when crude prices spike, as Brazil has demonstrated over time. We take that argument seriously, but its relevance to India is moderated by three considerations. First, ethanol is not cheaper than crude-based petrol procurement for oil marketing companies on a pre-tax basis, with ethanol at about INR 61 per litre against a petrol making cost closer to INR 55 per litre. This means the hedge is valuable mainly in periods of severe crude stress. Second, Brazil built this system over several decades, beginning in a very different era, before alternatives such as EVs existed. Third, India today already has other pathways to reduce both import dependence and emissions, through EVs, hybrids and rising CNG penetration, without creating a single-purpose supply chain. We would become more constructive on this second leg only under three conditions: a structurally higher crude price above \$90 to \$100 per barrel, a genuine breakthrough in second-generation feedstock that is neither food-based nor irrigation-intensive, or a clear stall in the EV cost and range curve. Absent those developments, the case for a parallel supply chain remains weak, with significant capital being deployed for a relatively modest payoff.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 13: Maruti Suzuki Financial Summary

P&L (Rs mn)	FY26A	FY27E	FY28E	Balance sheet	FY26A	FY27E	FY28E
Revenue	1,832,661	2,043,919	2,232,218	Fixed assets	826,295	926,295	1,026,295
EBITDA	214,502	232,034	260,532	Cash and equivalents	457,241	573,611	714,097
EBIT	147,097	142,979	160,477	Net debt/(funds)	(751,157)	(867,527)	(1,008,013)
Other income	43,919	53,404	61,752	Shareholders' equity	1,051,098	1,154,519	1,277,369
Pretax income	188,629	193,997	219,842	Current assets	389,112	436,147	563,194
Tax	44,175	46,559	52,762	Current liabilities	364,772	370,621	404,765
Net income	144,454	147,437	167,080	Change in WC	16,375	45,184	17,583
EPS (adjusted)	459.46	468.95	531.43	CFO	190,631	230,659	225,352
EPS (reported)	459.46	468.95	531.43	Capital expenditure	(103,964)	(100,000)	(100,000)
Diluted shares (mn)	314	314	314	FCFF	86,667	130,659	125,352
DPS (Rs)	140	141	159	BVPS	3,343	3,672	4,063
Key ratios/metrics	FY26A	FY27E	FY28E	Operating metrics	FY26A	FY27E	FY28E
Revenue growth	19.9%	11.5%	9.2%	Total volumes ('000)	2,423	2,605	2,744
PAT growth	0.7%	2.1%	13.3%	Domestic Cars	922	968	968
EBITDA margin	11.7%	11.4%	11.7%	Domestic UVs	761	799	855
EBIT margin	8.0%	7.0%	7.2%	Domestic Vans	140	141	144
Pre-tax margin	10.3%	9.5%	9.8%	Domestic LCV	39	39	40
PAT margin	7.9%	7.2%	7.5%	Total domestic	1,862	1,948	2,007
Tax	23.4%	24.0%	24.0%	Exports	448	524	587
ROE	13.7%	12.8%	13.1%	Realisation per car (Rs)	719,758	748,548	778,490
ROE(ex-cash)	19.1%	18.9%	22.0%				

Source: Company Data, Bernstein analysis and estimates

EXHIBIT 14: M&M Financial Summary

P&L (Rs mn)	FY26A	FY27E	FY28E	Balance Sheet	FY26A	FY27E	FY28E
Revenue	1,455,758	1,604,602	1,803,423	Fixed assets	559,341	654,341	749,341
EBITDA	209,775	246,681	278,638	Cash and equivalents	335,864	435,082	564,566
EBIT	166,848	194,444	218,986	Net debt/(funds)	(193,619)	(292,837)	(422,321)
Other Income	41,890	49,277	57,301	Shareholders' equity	734,976	875,488	1,035,000
Pre-tax income	206,242	241,678	274,358	Current assets	623,614	752,253	921,037
Tax	49,498	56,794	64,474	Current liabilities	399,929	440,820	495,441
Net income (adj)	156,744	184,884	209,884	Change in WC	30,011	11,470	15,321
EPS (adj)	126.0	148.6	168.6	CFO	190,288	201,357	229,485
EPS (reported)	126.0	148.6	168.6	Capital expenditure	(85,000)	(95,000)	(95,000)
Diluted shares (mn)	1,244	1,244	1,245	Free cash flow	95,288	96,357	124,485
DPS (R)	30.2	35.7	40.5	BVPS	591	704	831
Key ratios/metrics	FY26A	FY27E	FY28E	Key metrics	FY26A	FY27E	FY28E
Revenue growth	25.0%	10.2%	12.4%	Auto segment revenue	1,093,549	1,208,332	1,370,687
PAT growth	32.2%	18.0%	13.5%	Growth YoY (%)	25%	10%	13%
EBITDA margin	13.1%	14.4%	15.4%	Farm segment revenue	364,093	398,249	434,814
EBIT margin	32.1%	20.0%	20.0%	Growth YoY (%)	25%	9%	9%
Pre-tax margin	13.7%	14.2%	15.1%	Automotive volumes	1,156,346	1,237,213	1,349,938
PAT margin	10.9%	10.8%	11.5%	Growth YoY (%)	21%	7%	9%
Tax	20.5%	24.0%	23.5%	Tractor volumes	520,554	556,798	595,773
ROE	20.5%	21.3%	21.1%	Growth YoY (%)	18%	7%	7%
ROE(ex-cash)	20.4%	31.9%	34.1%				

Source: Company Data, Bernstein analysis and estimates

EXHIBIT 15: **Bajaj Auto Financial Summary**

P&L (Rs mn)	FY26	FY27E	FY28E	Balance Sheet	FY26	FY27E	FY28E
Revenue	629,050	690,187	768,226	Fixed assets	77,346	86,335	95,774
EBITDA	130,611	148,429	166,558	Cash and equivalents	328,033	398,628	468,412
EBIT	124,164	143,181	160,729	Net debt/(funds)	(235,668)	(306,263)	(376,047)
Other Income	21,822	18,983	22,520	Shareholders' equity	409,077	473,135	548,808
Pre-tax income	139,515	152,080	175,012	Current assets	269,224	339,648	424,612
Tax	33,770	37,770	43,503	Current liabilities	103,990	114,096	126,997
Net income	105,745	114,310	131,509	Change in WC	(7,775)	10,278	(2,279)
EPS (adj)	386	409	471	CFO	94,281	121,938	121,775
EPS (reported)	385	409	471	Capital expenditure	(8,561)	(8,989)	(9,439)
Diluted shares (mn)	279	279	279	Free cash flow	85,720	112,949	112,337
DPS (R)	180	180	200	BVPS	1,465	1,695	1,966
Key ratios/metrics	FY26	FY27E	FY28E	Volume (units - '000)	FY26	FY27E	FY28E
Revenue growth	23.4%	9.7%	11.3%	Domestic 2w	2,342	2,525	2,663
PAT growth	39.4%	56.1%	22.4%	Growth YoY (%)	2%	8%	5%
EBITDA margin	20.8%	21.5%	21.7%	Export 2w	1,962	2,159	2,286
EBIT margin	19.7%	20.7%	20.9%	Growth YoY (%)	18%	10%	6%
Pre-tax margin	22.2%	22.0%	22.8%	Domestic 3w	517	543	586
PAT margin	16.8%	16.6%	17.1%	Growth YoY (%)	8%	5%	8%
Tax	24.2%	24.8%	24.9%	Export 3w	461	553	591
ROE	25.8%	24.2%	24.0%	Growth YoY (%)	50%	20%	7%

Source: Company Data, Bernstein analysis and estimates

EXHIBIT 16: **Eicher Motors Financial Summary**

P&L (Rs mn)	FY25A	FY26	FY27E	FY28E
Revenue	188,704	234,076	257,649	307,304
EBITDA	47,120	57,851	65,501	78,007
EBIT	39,827	49,447	56,222	67,998
Other Income	13,049	14,865	16,055	17,018
Pre-tax income	59,331	71,021	79,596	93,336
Tax	11,986	15,868	17,190	20,248
Net income	47,344	55,152	62,405	73,088
EPS (adj)	173	203	228	267
EPS (reported)	173	201	228	267
Diluted shares (mn)	274	274	274	274
DPS (R)	61	71	80	93
Key ratios/metrics	FY25A	FY26	FY27E	FY28E
Revenue growth	14.1%	24.0%	10.1%	19.3%
PAT growth	18.3%	17.7%	12.0%	17.1%
EBITDA margin	25.0%	24.7%	25.4%	25.4%
EBIT margin	21.1%	21.1%	21.8%	22.1%
Pre-tax margin	31.4%	30.3%	30.9%	30.4%
PAT margin	25.1%	23.6%	24.2%	23.8%
Tax	20.2%	22.3%	21.6%	21.7%
ROE	22.2%	22.1%	21.5%	21.7%
ROE(ex-cash)	39.4%	42.1%	47.7%	56.2%
NWC days ex-cash	31	35	30	25
Balance Sheet	FY25A	FY26	FY27E	FY28E
Fixed assets	68,928	79,841	91,299	103,331
Cash	119,131	145,586	185,300	230,991
Net debt/(funds)	(116,466)	(142,521)	(182,236)	(227,927)
Shareholders' equity	212,965	249,174	289,738	337,245
Current assets	69,542	111,071	154,576	210,856
Current liabilities	41,837	50,220	55,342	66,138
Change in WC	2,110	(6,691)	1,331	206
CFO	39,799	42,715	57,611	66,935
Capital expenditure	(10,393)	(10,913)	(11,459)	(12,032)
Free cash flow	29,406	31,802	46,152	54,904
BVPS	777.8	910.1	1,058.2	1,231.7
Volume (units - '000)	FY25A	FY26	FY27E	FY28E
Motorcycles Rev.	169,201	209,662	252,919	301,723
Growth YoY (%)	11%	24%	21%	19%
VECV Rev.	235,482	275,790	303,755	335,216
Growth YoY (%)	8%	17%	10%	10%
Motorcycles volume	991,867	1,226,601	1,428,480	1,620,052
Growth YoY (%)	10%	24%	16%	13%
VECV (CV) volumes	89,055	101,071	108,119	117,105
Growth YoY (%)	4%	13%	7%	8%

Source: Company Data, Bernstein analysis and estimates

EXHIBIT 17: **TVS Motors Financial Summary**

P&L (Rs mn)	FY26A	FY27E	FY28E	Balance Sheet	FY26A	FY27E	FY28E
Revenue	472,703	562,015	637,292	Fixed assets	54,381	63,007	70,275
EBITDA	60,794	74,188	86,952	Cash and equivalents	41,672	82,778	133,889
EBIT	51,787	64,468	75,691	Net debt/(funds)	(25,668)	(66,773)	(117,884)
Other Income	(300)	1,800	1,980	Shareholders' equity	132,431	177,223	230,541
Pre-tax income	49,035	64,270	75,713	Current assets	97,617	151,004	211,253
Tax	12,883	16,389	19,307	Current liabilities	101,726	120,945	137,145
Net income	36,566	47,881	56,406	Change in WC	13,196	6,938	7,061
EPS (adj)	77.0	100.8	118.7	CFO	60,693	64,738	74,707
EPS (reported)	76.1	100.8	118.7	Capital expenditure	(18,165)	(18,346)	(18,530)
Diluted shares (mn)	475	475	475	Free cash flow	42,529	46,391	56,177
DPS (R)	6.5	6.5	6.5	BVPS	278.8	373.0	485.3
Key ratios/metrics	FY26A	FY27E	FY28E	Volume (units - '000)	FY26A	FY27E	FY28E
Revenue growth	30.4%	18.9%	13.4%	Domestic Motorcycles	1,418	1,545	1,669
PAT growth	40.4%	30.9%	17.8%	Growth YoY (%)	18%	9%	8%
EBITDA margin	12.9%	13.2%	13.6%	Domestic scooters	2,303	2,648	2,966
EBIT margin	11.0%	11.5%	11.9%	Growth YoY (%)	27%	15%	12%
Pre-tax margin	10.4%	11.4%	11.9%	Domestic Mopeds	523	544	544
PAT margin	7.7%	8.5%	8.9%	Growth YoY (%)	4%	4%	0%
Tax	26.3%	25.5%	25.5%	Export 2w	1,411	1,588	1,781
ROE	27.6%	27.0%	24.5%	Growth YoY (%)	32%	13%	12%
ROE(ex-cash)	40.5%	49.4%	56.9%	Total 3w	219	255	284
				Growth YoY (%)	63%	16%	11%

Source: Company Data, Bernstein analysis and estimates

EXHIBIT 18: **Hero MotoCorp Financial Summary**

P&L (Rs mn)	FY26	FY27E	FY28E	Balance Sheet	FY26	FY27E	FY28E
Revenue	468,301	491,849	556,182	Fixed assets	52,466	57,257	59,757
EBITDA	68,708	70,114	80,722	Cash & equivalents	136,667	159,343	193,719
EBIT	60,728	61,614	72,222	Net debt/(funds)	(136,667)	(159,343)	(193,719)
Other Income	10,410	11,000	11,000	Shareholders' equity	215,781	244,425	281,056
Pre-tax income	69,720	72,364	82,946	Current assets	160,077	186,146	229,792
Tax	17,038	17,758	20,355	Current liabilities	83,830	88,045	99,561
Net income	52,682	54,606	62,591	Change in WC	6,612	822	2,246
EPS (adj)	270	273	313	CFO	57,092	53,178	62,613
EPS (reported)	270	273	313	Capital expenditure	(11,000)	(11,000)	(11,000)
Diluted shares (mn)	200	200	200	Free cash flow	46,092	42,178	51,613
DPS (R)	130	130	130	BVPS	1,081	1,224	1,407
Key ratios/metrics	FY26	FY27E	FY28E	Volume (units - '000)	FY26	FY27E	FY28E
Revenue growth	14.9%	5.0%	13.1%	Domestic Motorcycles	5,493	5,768	6,229
PAT growth	14.1%	3.7%	14.6%	Growth YoY (%)	5%	5%	8%
EBITDA margin	14.7%	14.3%	14.5%	Domestic Scooters	573	659	791
EBIT margin	13.0%	12.5%	13.0%	Growth YoY (%)	46%	15%	20%
Pre-tax margin	14.9%	14.7%	14.9%	Export Motorcycles	312	375	450
PAT margin	11.2%	11.1%	11.3%	Growth YoY (%)	41%	20%	20%
Tax	24.4%	24.5%	24.5%	Export scooters	53	75	93
ROE	24.4%	22.3%	22.3%	Growth YoY (%)	71%	40%	25%
ROE(ex-cash)	57.4%	55.1%	62.9%				

Source: Company Data, Bernstein analysis and estimates

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Maruti Suzuki India Ltd**

We arrive at our price target of INR18,200 for Maruti Suzuki on DCF (10.5% wacc, 4% terminal growth, FY35 terminal year, 7% volume estimates, 10% ebitda cagr) and the price target implies a P/E multiple of 31x FY28E earnings. A 12% earnings CAGR is estimated from FY26-28E.

Mahindra & Mahindra Ltd

To arrive at our Rs 4,200 price target, we value M&M on a sum of the parts' basis with its standalone + MVML (ex S&A dividends) business valued at 21.6x FY27/28E. We value the listed subsidiaries, financial services, Tech Mahindra, and auto comps subsidiary at market cap and then apply a holding company discount of 20%. In addition, we value the 92% stake which is valued at \$10bn.

Hero MotoCorp Ltd

We value Hero MotoCorp on a standalone DCF basis at INR 4,370, implying 16x FY28E earnings. The DCF assumes a 10.6% discount rate, 1.5% terminal growth, and explicit forecasts through FY37, with revenue and EBITDA modelled at 5.8% and 6.5% CAGR respectively over FY23-FY37E. We add INR 640 per share for associate investments in Ather Energy (current market capitalisation), Hero Fincorp (FY25 book value) and Euler Motors (cost), net of a 10% holdco discount. This gives a price target of INR5,010 for Hero MotoCorp.

Eicher Motors Ltd

We value Eicher Motors at a PT of INR 7,000 using SOTP method - based on DCF for 2W business with an implied PE multiple of 31x on FY27E earnings and using a 20x PE multiple on FY27E for its CV business. Our DCF valuations is based on 10.5% discount rate, 4% terminal growth and explicit forecasts until FY37. Revenue and EBITDA growth built in our DCF model from FY23-FY37E are 14.6%/15% CAGR.

Bajaj Auto Ltd

We value Bajaj Ltd at a PT of INR11,500 using DCF valuations (10% discount rate, 3% terminal growth and explicit forecasts until FY35). Revenue and EBITDA growth built in our DCF model from FY25-FY35E are 11%/10.4% CAGR. We believe the critical upside could emerge from higher-than-expected long-term EBITDA margins and a scale-up in EV segments. Implied PE multiple is 24x on FY28E earnings.

TVS Motor Co Ltd

We value TVS Motors at a PT of INR3,460 based on SOTP.

Standalone business is valued at INR 3200 per share using DCF with an implied multiple of 32x on FY27E earnings for the core 2W business. Our DCF valuations is based on 10.5% discount rate, 3% terminal growth and explicit forecasts until FY37. Revenue and EBITDA growth built in our DCF model from FY26-FY37E are 11.1%/13.3% CAGR. We assign INR 120 per share to TVS Credit (value estimated at 2.5x P/B on FY25 Book Value) and INR 140 per share to other investments (valued at 1x P/B on FY25

book value).

RISKS

Maruti Suzuki India Ltd

Downside risks to our price target include 1) Slowdown in overall PV demand, 2) Significant increase in new competitors due to the new EV policy, 3) Massive increase in commodity prices, especially Steel and 4) Inability to recover share due to lack of traction in the new launches remains a risk

Mahindra & Mahindra Ltd

Downside risk emerges from slower-than-expected recovery tractors industry growth and/or market share loss for M&M. A weak monsoon season will also impact the performance of tractors. Failure to improve margins for the automotive business also poses risk.

Hero MotoCorp Ltd

Upside risks stem from 1) strong rural recovery driving growth for entry-level motorcycles, 2) creating a successful product in premium motorcycle and/or electric vehicle segment.

Downside risk stem from 1) Continued weakness in rural, disproportionately impacting volumes as it is heavily exposed to entry level segment. 2) Lower than expected scale up of its EV model (Hero Vida)

Eicher Motors Ltd

Downside risk emerges from higher competition in the premium 2W segment (Harley Davidson etc) and weakness in exports. In addition, lack of EV products could trigger a risk to PE multiples. Upside risks for Eicher include better than expected domestic market for premium bikes as the top end of households remains resilient.

Bajaj Auto Ltd

Downside risk emerges from weaker than expected margins performance and continued weakness in export market and/or 3W segment.

TVS Motor Co Ltd

Upside risks stem from sharper-than-expected recovery in margins. Downside risk emerges from a loss of share in the scooter market as EV penetration increases. Another risk is lower than expected scale up of its EV model (TVS Iqube).

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- **Outperform (OP):** Stock will outpace the relevant index by more than 10 pp
- **Neutral (N):** Stock will perform in line with the market index to within +/-10 pp
- **Underperform (UP):** Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- **Outperform (OP):** The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- **Neutral (N):** The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- **Underperform (UP):** The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- **Credit Outperform (C-OP):** The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

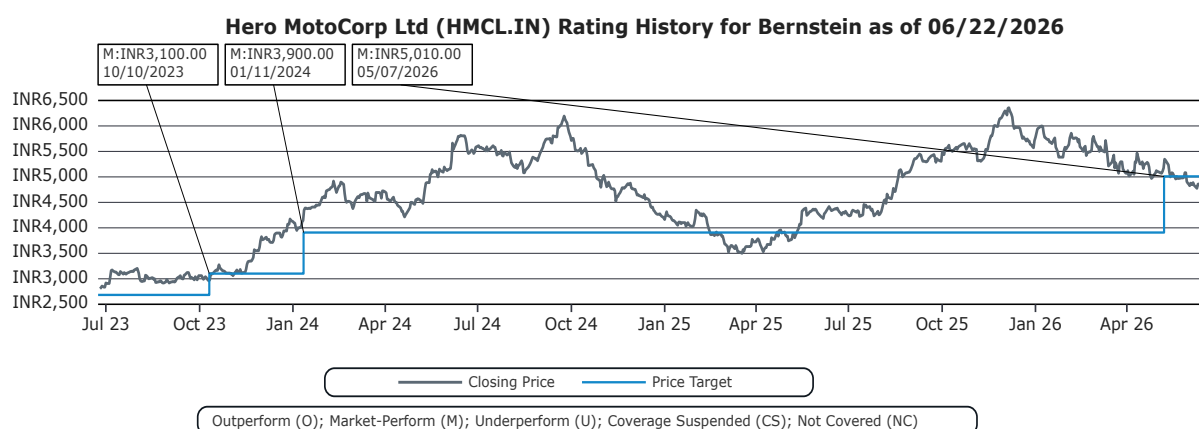
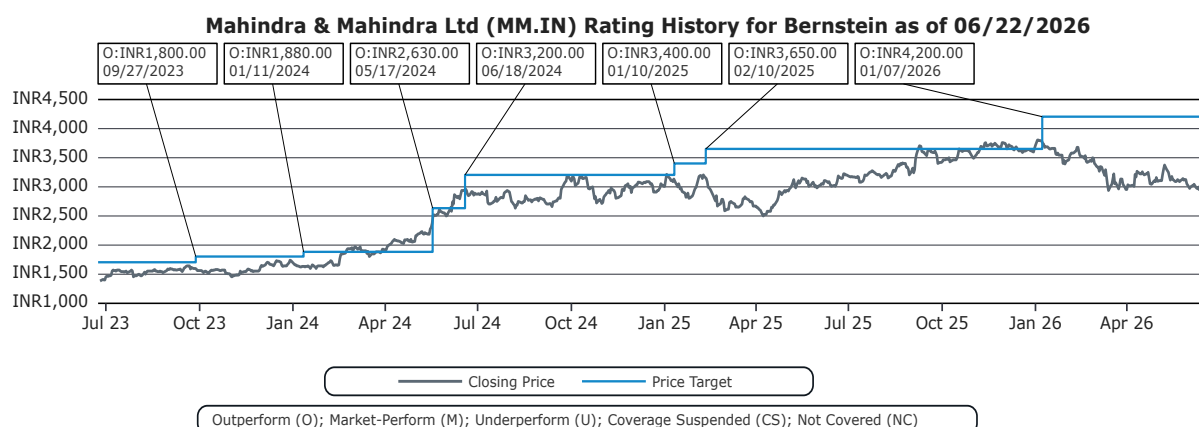
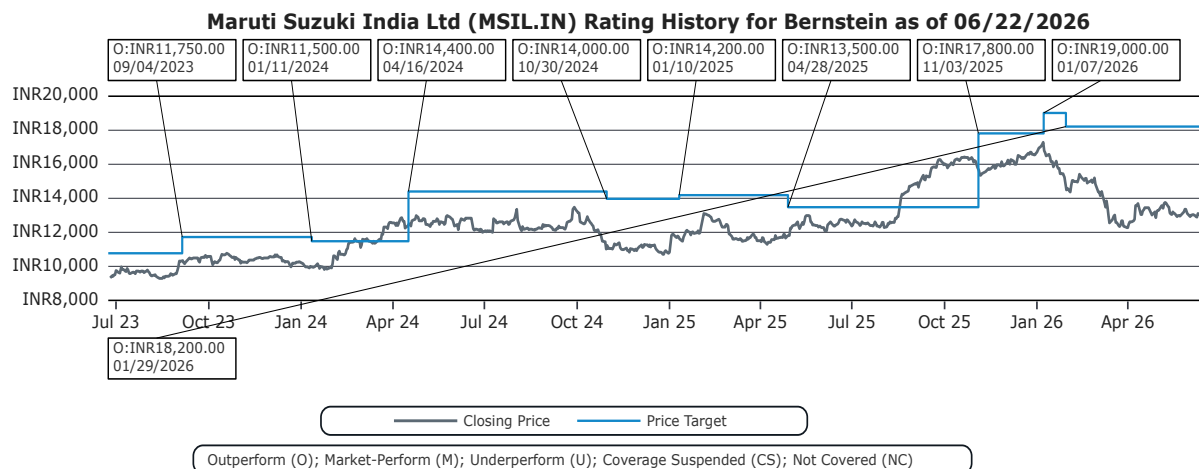
It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

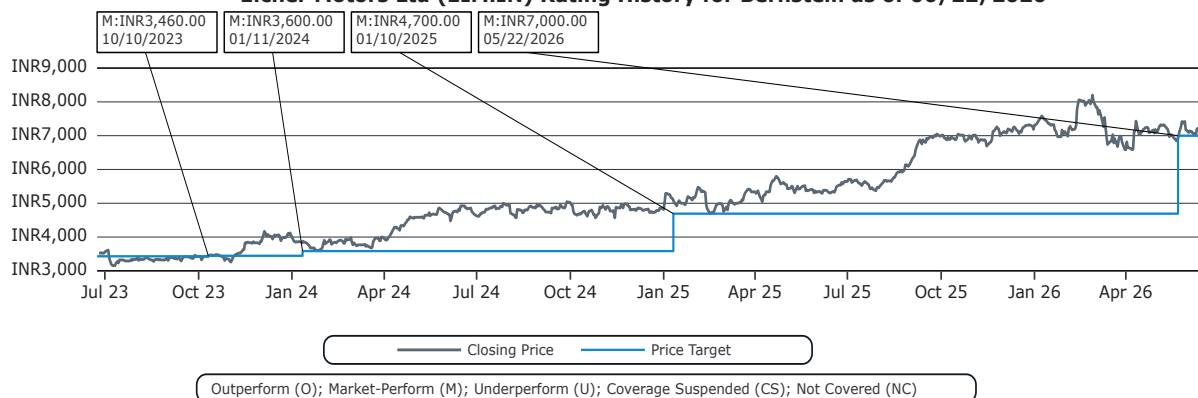
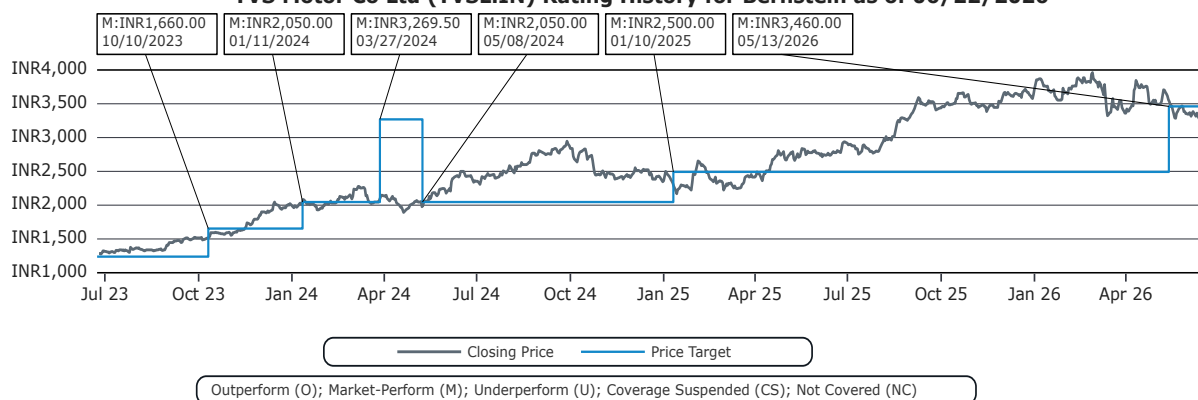
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.1%	16.5%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	36.3%	17.8%
Underperform	SELL	12.6%	14.9%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of March 31, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



Eicher Motors Ltd (EIM.IN) Rating History for Bernstein as of 06/22/2026**Bajaj Auto Ltd (BJAUT.IN) Rating History for Bernstein as of 06/22/2026****TVS Motor Co Ltd (TVSL.IN) Rating History for Bernstein as of 06/22/2026**

All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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